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Shenzhen Inovance Technology Co. Ltd - A

Model update after 1Q26 briefing: delivery and margin checkpoints sharpen, while the order cycle remains constructive; stay OW

Inovance's 1Q26 earnings missed despite very strong IA order growth, and the past two sessions show the market's focus has tightened to one issue, in our view: whether order momentum converts into delivered revenue and margin recovery fast enough to defend FY26 guidance. The stock fell ~6% yesterday on the print versus a flattish CSI300, then rebounded 10% today following the after-market briefing (CSI300 again flattish at +0.7%), as investors gained comfort from yesterday's briefing that the shortfall was mainly timing/high base and one-offs rather than demand deterioration, and that delivery bottlenecks have a near-term operational path to improvement. We maintain OW but de-risk our forecasts: FY26/27E profit cut by 7%/10%, FY28E introduced, DCF horizon extended to Jun-27, and PT reset to Rmb84 (~25% upside post today's rebound), supported by ~15% revenue CAGR and ~23% profit CAGR into FY28E.

- **IA demand broad-based and April order momentum strong, yet 1Q delivery lagged materially on capacity constraint.** The near-term setup is binary in terms of investor confidence, we believe: (i) capacity uplift in May (30%+) and a visible 2Q backlog digestion cycle that translates into revenue booking; and (ii) an initial turn in margin trajectory as price pass-through and product mix begin to show up more clearly. Pricing power remains an important differentiator, but it needs to reflect in reported gross margin; the management briefing points to March–April as the start of IA price-effect visibility, making 2Q the first quarter where consolidated GPM is poised to recover with IA leading. We believe the share price whipsaw (-6% then +10% vs flat CSI300) reinforces that the market will reward proof quickly if these checkpoints land.
- **Improved confidence in FY26 guidance by replacing “trust gap” with execution checkpoints, while NEV still drives headline volatility.** Confidence in the FY26 10–30% Y/Y revenue and profit guidance improved because the 1Q26 miss now maps more cleanly to timing/high base and one-offs plus a conversion bottleneck, rather than a demand-led slowdown, with IA order momentum and April orders described as firm. We see the debate shifting from whether the guidance is achievable to whether the sequence is delivered: May capacity uplift (30%+), 2Q backlog digestion, and a visible improvement in margin trajectory as IA price pass-through begins to appear in reported numbers. This framing reduces uncertainty and supports a more constructive stance despite recent delivery noise. NEV remains the key caveat: cost pass-through is structurally harder and raw material volatility can continue to dilute

Overweight

300124.SZ, 300124.CH

Price (29 Apr 26): Rmb67.59

▼ Price Target (Jun-27): Rmb84.00

Prior (Dec-26): Rmb97.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	2.45	2.25	-7.9%
Adj. EPS - 27E (Rmb)	3.07	2.77	-10.0%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	80	87	87	85	91
Growth	14	16	19	27	33
Momentum	64	32	37	33	14
Quality	10	16	10	21	43
Low Vol	46	63	57	30	66
ESGQ	1	1	7	90	94

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 11 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-10.3%	-1.4%	-10.9%	0.7%
Rel	-13.8%	-6.3%	-9.7%	-24.3%

Company Data

Shares O/S (mn)	2,707
52-week range (Rmb)	91.00-60.13
Market cap (\$ mn)	26,757
Exchange rate	6.84
Free float (%)	62.2%
3M ADV (mn)	27.29
3M ADV (\$ mn)	280.2
Volatility (90 Day)	36
Index	SHASHR
BBG ANR (Buy Hold Sell)	37 2 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	45,105	52,734	59,970	68,345
Adj. EBITDA	6,633	7,843	8,933	10,872
Adj. EBIT	5,517	6,388	7,772	9,551
Adj. net income	5,050	6,094	7,484	9,292
Adj. EPS	1.87	2.25	2.77	3.43
BBG EPS	2.03	2.43	2.90	3.28
Cashflow from operations	6,681	7,506	8,342	9,987
FCFF	3,649	3,701	5,684	7,107
Margins and Growth				
Revenue Growth Y/Y (%)	21.8%	16.9%	13.7%	14.0%
EBITDA margin	14.7%	14.9%	14.9%	15.9%
EBITDA Growth Y/Y (%)	22.5%	18.2%	13.9%	21.7%
EBIT margin	12.2%	12.1%	13.0%	14.0%
Net margin	11.2%	11.6%	12.5%	13.6%
Adj. EPS growth	17.2%	20.4%	22.8%	24.1%
Ratios				
Adj. tax rate	4.8%	5.3%	5.8%	6.3%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	14.8%	14.6%	15.9%	17.3%
ROE	15.9%	16.2%	17.4%	18.7%
Valuation				
FCFF yield	2.0%	2.0%	3.1%	3.9%
Dividend yield	0.6%	0.9%	1.1%	1.4%
EV/Revenue	4.2	3.6	3.1	2.7
EV/EBITDA	28.3	23.9	21.0	17.3
Adj. P/E	36.1	30.0	24.4	19.7

Summary Investment Thesis and Valuation

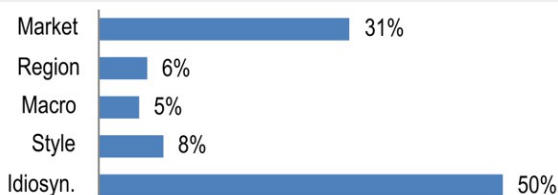
Investment Thesis

We rate Shenzhen Inovance OW, given its superior supply chain management and product development capabilities, which position it to capture China's ongoing factory automation and industrial upgrade. Inovance's consistent track record of returns and robust Op-CF generation stand out among peers, providing comfort for investors amid rising macro headwinds. Beyond its core strengths in FA, Inovance is also actively investing in new growth drivers—including humanoid robots, energy storage systems (ESS), and digital/AI platforms—which are set to support the next phase of expansion and margin resilience. We believe Inovance is distinctively positioned to benefit from the ongoing upcycle in China's FA sector, with its ability to deliver innovation, scale, and execution making it the best play for investors seeking exposure to this structural transformation.

Valuation

Our DCF-based Jun-27 PT of Rmb84 is based on terminal growth of 3% and a WACC of 8%, calculated based on the following assumptions: cost of equity at 9.0% (based on $R_f = 2.2\%$ [aligned with the latest China 10-year bond yield], an equity risk premium of 6.8% and a beta of 1.0 x), cost of debt at ~4% and target debt-to-capital of 20%. Our PT translates into a target PEG of c1.5x against our projected 23% earnings growth over FY25-28E.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.42	0.51
Region: China	0.26	0.32
Macro:		
Citi Economic Surprise - EM	-0.28	-0.22
JPM Global Equity Sentiment	0.37	0.18
JP Morgan EMBI Global Spread	-0.06	0.17
Quant Styles:		
Value	-0.47	-0.43
DivYld	-0.45	-0.41
LowVol	-0.40	-0.37

consolidated margin optics.

- **Third pillar is the optionality stack that can sustain growth beyond the current FA upcycle.** Robotics/AI progress is anchored in industrial scenarios and component commercialization, with identifiable milestones (bionic arm delivery and an August wheeled robot launch) that can improve visibility, while the software push emphasizes tools/agents and scenario know-how as the moat. ESS is positioned as selective growth, prioritizing order quality and walking away from low-GPM volume to support mix. Our view is that the market is poised to pay for these levers only after 2Q–3Q confirms delivery catch-up and margin stabilization at group level. The announced H-share listing supports financial and strategic flexibility (brand building and inorganic options).

Model update post-1Q26 briefing: Order momentum and FY26 guidance remain intact

1Q26 earnings were a miss despite very strong order growth, and the share price reaction over the past two days usefully isolates what the market is (and is not) willing to pay for at this stage of the cycle: investors were initially positioned to penalize “delivery/margin conversion” risk, but they were also quick to re-rate once the after-market briefing narrowed the uncertainty around the bridge from orders to recognized revenue and profit. The stock fell ~6% yesterday on the print versus a flattish CSI300, reflecting near-term disappointment and lingering skepticism after consecutive quarters where headline delivery has not kept pace with the strength implied by the upcycle. However, after the after-market briefing, the stock rebounded ~10% today (CSI300 again flattish), as investors appeared more comfortable that the miss was not demand-led but instead driven by timing (order-to-revenue recognition lag), a high base and one-off items, and that the current delivery pressure is operationally addressable via near-term capacity actions—i.e., the problem set shifted from “is the cycle real?” to “how quickly can Inovance convert backlog into reported numbers and stabilize margins?” In that context, the reiterated FY26 guidance of 10–30% Y/Y growth for both revenue and profit reads as more credible than it did immediately post-results, even if the implied path still requires a meaningful step-up in performance through the remaining quarters, and therefore leaves little room for additional execution slippage.

We remain **OW**, but we are explicitly de-risking the forecast profile to reflect: (i) a more conservative margin recovery cadence versus the optimistic “snapback” path the market would likely need to see to fully rebuild confidence; and (ii) the reality that even with strong orders, the translation to P&L can remain noisy when capacity, product mix and cost pass-through are moving targets. Specifically, we cut FY26/27E profit by 7%/10%, and introduce FY28E to better capture the medium-term compounding from automation penetration, overseas expansion and new engines (software/AI, robotics, ESS energy storage, and PA process automation adjacencies).

We extend our valuation horizon to Jun-27. Our DCF-based PT resets to **Rmb84** (from Rmb97), which implies ~25% upside from current levels even after today’s rebound, underpinned by our projected ~15% revenue CAGR and ~23% profit CAGR into FY28E. We preserve our core medium-term investment case (structural share gains + platformization + multi-engine growth), while acknowledging that near-term sentiment will likely remain highly sensitive to proof points on delivery catch-up, margin stabilization and the “quality” of order growth—exactly the factors that drove the sharp de-rating yesterday and the equally sharp re-rating today.

Macro and IA cycle framing leaned constructive, tying 2026>2025 conviction to policy tailwinds and a longer cycle, but also acknowledged global energy/commodity uncertainties

- **Management explicitly stated a conviction that 2026 will be better than 2025 for IA demand**, and tied this to policy and structural drivers—national planning/infrastructure emphasis, “core autonomy” and industrial security priorities (e.g., semi, energy), and a belief that digitalization will be a key battlefield where they expect to be a major winner. They also highlighted external dynamics (e.g., Middle East-related energy security focus and the acceleration of “technology going overseas”) as both opportunities and context for faster internationalization.
- **At the same time, they acknowledged global commodity and energy tightness**

could create recession risks, but argued the cycle's "long-term" effect is net positive. Our view is that this macro framing is supportive for sentiment and aligns with the strong order picture, but ultimately investors will still anchor on near-term proof in delivery and margins; macro optimism can support the multiple only if the company executes through the current conversion bottleneck and shows that price pass-through is functioning as guided.

FY25 business review emphasized resilience with structural wins and product leadership the core narrative

- **Management framed FY25 as a year shaped by tariff-related uncertainty and a "front-high, mid-low, back-high" demand profile**, but argued the company still delivered healthy order and revenue growth by "grabbing structural opportunities" in higher-momentum verticals. They highlighted sector demand pockets (e.g., lithium battery, logistics) and the firm's ability to capture incremental share through solution capability rather than relying solely on cyclical beta.
- **Management also pointed to strong execution in "industrial intelligence" with growth supported by deepening penetration in equipment electrification and upgrades**, and referenced product momentum in high-margin categories (e.g., servo/PLC) alongside new product ramp (including multiple "爆品" launches). Our read is that the FY25 retrospective was designed to anchor credibility (i.e., execution track record) ahead of a more ambitious FY26 guidance band, and to signal that the firm sees itself as a structural winner rather than purely a cycle beneficiary, which matters for sentiment as investors debate whether two consecutive quarterly misses are "noise" or "signal."

1Q26 miss positioned as a mix of timing, high base, and one-offs, with conversion capacity (not demand) flagged as the binding constraint; April orders remained strong

- **Management's central message was that the 1Q26 profit miss should not be read as a deterioration in end-demand**, but rather as the consequence of: (i) a high base; (ii) order-to-revenue booking lag; and (iii) several one-off/non-operational drags (including investment income/FX-related impacts and impairment-type items). They emphasized the mismatch between IA orders (+~40% Y/Y, per their discussion) and IA deliveries/revenue recognition (+~14% Y/Y), arguing this reflects capacity constraints and delivery pressure rather than weak bookings.
- **Management added that April orders remained strong, and guided that May capacity is expected to improve by 30%+ to relieve delivery tightness; 2Q is framed as the period to "digest" 1Q backlog.** Our view is that this is the right debate to have (conversion and operational bottlenecks), but it also raises the bar for near-term proof: investors will likely watch whether delivery catch-up is visible in 2Q revenue recognition and whether working capital/fulfillment costs behave, as failure to convert strong orders into reported numbers would quickly revive skepticism around the FY26 guide.

Channel inventory discussion acknowledged some stocking, but management argued the majority of order strength reflects real demand in key verticals

- **On investor concerns that the sharp order acceleration could be partly channel-driven (i.e., distributors building inventory ahead of price hikes or supply tightness),** management acknowledged the possibility and offered an explicit

framing: of the ~40% Y/Y IA order growth, they suggested roughly ~10% could be attributable to channel stocking, while the remainder reflects genuine demand. Management cited examples of “real demand” in specific downstream areas such as lithium battery, smartphones/3C, and machine tools, and emphasized that orders are broad-based with a meaningful number of industries reaching sizable order scale.

- **This message is important because it directly addresses what many investors would suspect after aggressive order prints:** whether orders are “pull-through” from end customers or “push” into channels. Our interpretation is that management was attempting to strike a balance—conceding some inventory behavior (which increases credibility) while insisting the core demand is real. For our model, this makes the delivery/capacity ramp even more important: if orders are real and capacity expands, conversion should show up; if conversion does not materialize, the market may reclassify more of the order strength as channel-led.

Pricing pass-through was guided as improving in IA but lagging in NEV, and management pointed to near-term markers (3–4M and 2Q) for margin stabilization

- **A key Q&A theme was margin delivery and the timing of price pass-through versus raw material inflation.** Management argued that pricing power is still intact, but pass-through is a function of the company’s “pricing power” with each customer, implying differentiated acceptance rates. They stated that IA price effects have started to show in March–April and described IA GPM as “steadily recovering,” while acknowledging NEV is harder—pass-through benefits have not yet been fully reflected due to a more competitive environment and customer pressure.
- **Management suggested 2Q should begin to show signs of GPM recovery, with IA leading and NEV lagging.** Our view is that this is the single most investable part of the briefing: it provides time-stamped checkpoints for what the market needs to see (2Q margin directionally up, supported by 3–4M price effects). It also cleanly separates the bull case (IA recovery dominates) from the bear case (NEV drag offsets IA progress), which is why we are de-risking FY26/27E while still maintaining a constructive stance longer term.

Humanoid and robotics updates framed as “industrial first,” with commercialization milestones (bionic arm, wheeled robot) and a clear “we do parts/data, not the brain” positioning

- **Management shared tangible progress on humanoid-related initiatives, emphasizing that they are securing customer “design-ins” (定点) for components, though often requiring customization.** They stressed an “industrial scenario” focus—targeting high-value pain points rather than consumer/home use cases—and highlighted near-term milestones such as bionic arm mass production/delivery during the year and an August planned release of a wheeled robot aimed at industrial use (e.g., handling and other repetitive tasks).
- **Inovance clarified strategic boundaries:** they do not intend (or believe they can) build the “brain,” and see their role as providing high-reliability components, application-layer deployment, and potentially monetizable data contributions within an ecosystem approach. They mentioned using deployments in their own and customers’ factories to validate and accumulate data, with de-sensitization as a stated principle. Our view is that this positioning is consistent with their core competency (motion control + industrial know-how) and likely more credible than

attempting end-to-end humanoid “brain+body,” but investors will still want to see revenue scale and margin profile over time given the R&D intensity.

ESS discussed as a selective growth push, with management willing to sacrifice low-GPM volume and leaning on overseas energy transition for 2026–27 upside

- **Management described ESS as already meaningful (they referenced ~Rmb800MM+ revenue in 2025 or low-single-digit contribution)** and emphasized a deliberate strategy choice: in a highly competitive domestic market, they are willing to proactively give up low-GPM orders rather than chase volume that dilutes profitability. They also highlighted that their offering includes PCS and system-level solutions, and framed overseas energy structure adjustment as a key driver that could bring incremental revenue in 2026–27. This is consistent with a “quality growth” mindset and could be positive for medium-term margins if they can maintain technology differentiation and project discipline.
- **Our interpretation is that ESS remains early in its margin maturation (and likely volatile due to project timing),** but it is strategically relevant because it broadens the company’s exposure to “digital energy” themes and creates cross-sell opportunities with automation and control platforms—particularly as customers demand integrated energy management and automation rather than standalone hardware.

Competitive landscape discussion emphasized “stronger players get stronger,” with supply assurance, delivery, and solutions capability becoming differentiators as localization deepens

- **Management’s competitive framing was that domestic IA “three key components” are increasingly complete across players, while global brands have accelerated localization;** in that environment, the winners will be those with comprehensive solutions, reliable delivery, and strong supply chain resilience. They suggest “stronger players get stronger,” implying that scale and execution create a self-reinforcing moat, particularly in an upcycle where customers prioritize stability and lead times. They also highlighted supply-side stress points (e.g., memory and certain PLC models globally constrained) and argued they responded faster than peers through special stocking measures and early price notifications, aiming to avoid disruptions. Our view is that this is directionally credible and aligns with what investors tend to reward in industrial cycles: the “right to win” shifts toward vendors that can ship, service, and integrate. The key investor question, however, is whether that competitive advantage shows up in sustained margin recovery and not just share gains—hence the market’s sensitivity to the 1Q26 miss.

NEV (under Inovance Automotive 联合动力) acknowledged industry-wide commodity shocks and tougher pass-through, but management maintained confidence and said FY26 guidance already includes the pressure

- **Management described NEV profitability pressure as driven by broad commodity inflation that exceeded their ability to hedge/lock prices,** with pass-through structurally harder than in IA given downstream competitiveness and bargaining power. They acknowledged the NEV profit model is thin and that cost shocks can overwhelm near-term mitigation, but framed themselves as an industry leader that can “outlast” weaker competitors if the environment stays tough.
- **The FY26 guidance was set “seriously” with the NEV pressure already**

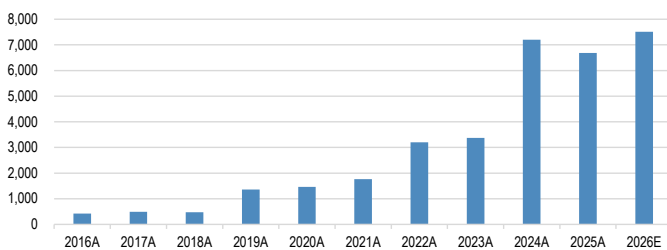
considered, though they did not disclose the detailed internal build-up. Our view is that NEV remains the key downside risk to consolidated margin recovery in FY26, because even if IA is strong, NEV can absorb incremental profit via pricing pressure. That said, the guidance reiteration signals management believes the combined effect of IA recovery, price/mix, and capacity conversion can outweigh NEV drag—so the near-term debate becomes whether 2Q shows sequential improvement in consolidated margin (with IA leading), which management explicitly flagged as a likely observable trend.

Table 1: Inovance – Asian IA sector comp table

	BBG Ticker	JPM rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US\$Mn	Daily turnover US\$Mn	YTD Stock perf.	P/E (x)		EPS growth Y/Y		PEG(x)		ROE (%)	
									FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
China/HK automation																
Inovance	300124 CH	OW	67	84	25%	26,629	284.6	-11%	30	24	20%	23%	1.5	16.2	17.4	
Estun	002747 CH	OW	21	28	33%	2,804	43.6	-12%	87	56	380%	54%	0.2	8.8	10.1	
OPT	688686 CH	NC	106	NA	NA	1,904	18.9	-14%	49	36	43%	35%	1.1	8.2	9.8	
Yiheda	301029 CH	OW	29	36	23%	2,653	42.9	8%	26	21	33%	24%	0.8	15.1	17.1	
Hongfa	600885 CH	OW	29	45	55%	6,570	99.6	-5%	13	12	79%	10%	0.2	19.5	18.8	
Leader Drive	688017 CH	OW	215	254	20%	5,771	201.3	12%	176	115	76%	53%	2.3	5.7	8.4	
Sanhua-A	002050 CH	OW	45	60	33%	26,434	651.4	19%	40	34	10%	17%	4.1	14.2	14.8	
Sanhua-H	2050 HK	OW	32	42	31%	26,434	54.0	-16%	25	21	10%	17%	2.5	14.2	14.8	
Tuopu	601689 CH	UW	58	48	-17%	14,649	237.3	-25%	31	28	16%	11%	1.9	12.8	13.0	
Jiangsu Hengli	601100 CH	OW	105	121	15%	20,610	165.7	-4%	42	34	23%	24%	1.8	18.3	20.0	
HCFA	688320 CH	NC	33	NA	NA	737	11.8	-11%	NA	NA	NA	NA	NA	NA	NA	
SUPCON	688777 CH	NC	77	NA	NA	8,972	233.8	-30%	69	53	101%	22%	NM	8.3	10.0	
Shuanghuan Driveline	002472 CH	NC	38	NA	NA	4,765	87.1	-19%	22	19	16%	17%	1.4	13.6	14.2	
Zhongda Leader	002096 CH	NC	68	NA	NA	1,965	58.9	-24%	129	111	66%	17%	2.0	NA	NA	
UBTech	9880 HK	OW	105	169	61%	6,745	94.5	-17%	69	1103	14%	NA	NM	-10.0	0.7	
Average									48	119	63%	25%	1.7	11.1	13.9	
Asia (ex-China) automation																
Delta	2308 TT	OW	2165	2600	20%	178,156	626.5	-125%	49	32	89%	55%	0.6	32.4	37.8	
Hiwin	2049 TT	UW	309	160	-48%	3,458	59.9	-28%	57	48	27%	18%	2.1	5.2	6.0	
Airtac	1590 TT	OW	1490	1350	-9%	9,442	46.3	-28%	30	28	17%	10%	1.8	18.1	18.4	
Keyence	6861 JP	NC	73600	NA	NA	112,433	335.4	-20%	37	33	9%	11%	4.1	13.5	13.6	
FANUC	6854 JP	NC	6861	NA	NA	42,836	229.1	14%	34	31	14%	9%	2.4	10.4	11.1	
NSK	6471 JP	NC	1222	NA	NA	3,827	21.2	-25%	19	15	212%	2%	0.1	4.9	6.0	
SMC	6273 JP	NC	77000	NA	NA	30,806	137.7	-14%	28	25	14%	10%	2.0	8.7	9.1	
Harmonic Drive System	6324 JP	NC	4745	NA	NA	2,863	40.2	-26%	85	54	53%	53%	1.6	6.4	9.5	
Yaskawa	6506 JP	NC	5381	NA	NA	8,989	126.3	13%	29	26	36%	12%	0.8	9.8	10.5	
THK	6481 JP	NC	5801	NA	NA	4,328	37.1	-26%	24	21	NA	18%	NA	10.8	12.7	
MISUMI	9962 JP	NC	3335	NA	NA	5,959	25.5	-26%	22	19	16%	14%	1.4	11.8	12.7	
Average									38	30	48%	22%	1.7	12.9	13.4	

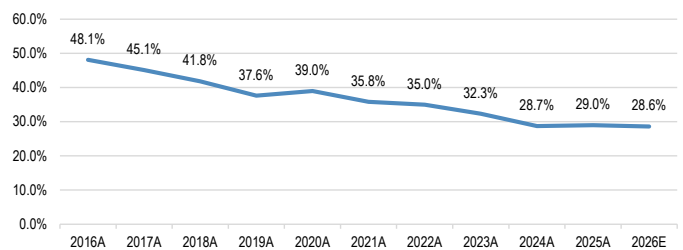
Source: Bloomberg Finance L.P., priced as of April 29, 2026. J.P. Morgan estimates for covered names, Bloomberg consensus forecasts for not covered (NC) names.

Figure 1: Inovance - Op-CF trend



Source: Company reports, J.P. Morgan estimates.

Figure 2: Inovance - GPM trend



Source: Company reports, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Shenzhen Inovance Technology Co. Ltd - A (*Overweight; Price Target: Rmb84.00*)

Investment Thesis

We rate Shenzhen Inovance OW, given its superior supply chain management and product development capabilities, which position it to capture China's ongoing factory automation and industrial upgrade. Inovance's consistent track record of returns and robust Op-CF generation stand out among peers, providing comfort for investors amid rising macro headwinds. Beyond its core strengths in FA, Inovance is also actively investing in new growth drivers—including humanoid robots, energy storage systems (ESS), and digital/AI platforms—which are set to support the next phase of expansion and margin resilience. We believe Inovance is distinctively positioned to benefit from the ongoing upcycle in China's FA sector, with its ability to deliver innovation, scale, and execution making it the best play for investors seeking exposure to this structural transformation.

Valuation

Our DCF-based Jun-27 PT of Rmb84 is based on terminal growth of 3% and a WACC of 8%, calculated based on the following assumptions: cost of equity at 9.0% (based on $R_f = 2.2\%$ [aligned with the latest China 10-year bond yield], an equity risk premium of 6.8% and a beta of 1.0 x), cost of debt at ~4% and target debt-to-capital of 20%. Our PT translates into a target PEG of c1.5x against our projected 23% earnings growth over FY25-28E.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) worse-than-expected IA segment growth; 2) smaller-than-expected market-share gains from Japanese and European/US brands; 3) worse-than-expected GPM due to fiercer pricing competition across IA, elevator and NEV businesses; 4) larger-than-expected impact from tariffs; and 5) fiercer market competition in the NEV PV controller business.

Shenzhen Inovance Technology Co. Ltd - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	37,041	45,105	52,734	59,970	68,345	Cash flow from operating activities	7,200	6,681	7,506	8,342	9,987
COGS	(26,409)	(32,045)	(37,651)	(42,410)	(47,716)	o/w Depreciation & amortization	850	1,117	1,455	1,161	1,320
Gross profit	10,632	13,060	15,083	17,560	20,629	o/w Changes in working capital	1,699	(123)	13	(118)	(245)
SG&A	(6,169)	(7,616)	(8,799)	(9,947)	(11,267)	Cash flow from investing activities	(10,551)	(5,536)	(3,252)	(1,821)	(1,612)
Adj. EBITDA	5,417	6,633	7,843	8,933	10,872	o/w Capital expenditure	(2,112)	(3,024)	(3,613)	(2,313)	(2,313)
D&A	(850)	(1,117)	(1,455)	(1,161)	(1,320)	as % of sales	5.7%	6.7%	6.9%	3.9%	3.4%
Adj. EBIT	4,567	5,517	6,388	7,772	9,551	Cash flow from financing activities	(1,833)	2,892	(1,643)	(3,131)	(2,101)
Net Interest	57	59	204	366	606	o/w Dividends paid	(1,335)	(1,235)	(1,353)	(1,633)	(2,006)
Adj. PBT	4,609	5,433	6,591	8,138	10,157	o/w Shares issued/(repurchased)	-	-	-	-	-
Tax	(262)	(261)	(349)	(472)	(640)	o/w Net debt issued/(repaid)	(109)	(574)	(132)	(1,372)	0
Minority Interest	(61)	(123)	(148)	(182)	(226)	Net change in cash	(5,200)	4,047	2,612	3,390	6,274
Adj. Net Income	4,285	5,050	6,094	7,484	9,292	Adj. Free cash flow to firm	5,221	3,649	3,701	5,684	7,107
Reported EPS	1.60	1.87	2.25	2.77	3.43	y/y Growth	182.0%	(30.1%)	1.4%	53.6%	25.0%
Adj. EPS	1.60	1.87	2.25	2.77	3.43						
DPS	0.41	0.41	0.60	0.74	0.92						
Payout ratio	25.7%	21.9%	26.8%	26.8%	26.8%						
Shares outstanding	2,685	2,700	2,707	2,707	2,707						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,558	7,033	9,644	13,035	19,309	Gross margin	28.7%	29.0%	28.6%	29.3%	30.2%
Accounts receivable	14,219	15,744	18,407	20,933	23,856	EBITDA margin	14.6%	14.7%	14.9%	14.9%	15.9%
Inventories	7,057	8,165	9,284	10,457	11,766	EBIT margin	12.3%	12.2%	12.1%	13.0%	14.0%
Other current assets	5,616	12,067	12,203	12,333	12,483	Net profit margin	11.6%	11.2%	11.6%	12.5%	13.6%
Current assets	30,451	43,009	49,539	56,758	67,414	ROE	16.3%	15.9%	16.2%	17.4%	18.7%
PP&E	7,041	9,893	10,786	11,223	11,540	ROA	8.1%	7.9%	8.1%	8.9%	9.9%
LT investments	0	0	0	0	0	ROCE	14.2%	14.8%	14.6%	15.9%	17.3%
Other non current assets	19,687	18,413	19,678	20,393	21,069	SG&A/Sales	16.7%	16.9%	16.7%	16.6%	16.5%
Total assets	57,179	71,314	80,002	88,374	100,022	Net debt/Equity	0.0	NM	NM	NM	NM
Short term borrowings	1,281	2,132	3,372	2,000	2,000	Net debt/EBITDA	0.1	NM	NM	NM	NM
Payables	16,998	21,683	24,960	28,116	31,633	Sales/Assets (x)	0.7	0.7	0.7	0.7	0.7
Other short term liabilities	5,094	6,079	6,733	7,288	7,907	Assets/Equity (x)	2.02	2.03	2.01	1.96	1.90
Current liabilities	23,374	29,894	35,066	37,404	41,541	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	2,874	1,572	200	200	200	Operating leverage	(8.3%)	95.6%	93.3%	157.9%	164.0%
Other long term liabilities	2,501	2,713	2,713	2,713	2,713	Tax rate	5.7%	4.8%	5.3%	5.8%	6.3%
Total liabilities	28,750	34,180	37,979	40,317	44,454	Revenue y/y Growth	21.8%	21.8%	16.9%	13.7%	14.0%
Shareholders' equity	27,994	35,353	40,094	45,945	53,231	EBITDA y/y Growth	2.2%	22.5%	18.2%	13.9%	21.7%
Minority interests	435	1,782	1,930	2,112	2,337	EPS y/y Growth	(10.2%)	17.2%	20.4%	22.8%	24.1%
Total liabilities & equity	57,179	71,314	80,002	88,374	100,022						
BVPS	10.39	13.06	14.81	16.98	19.67						
y/y Growth	13.6%	25.7%	13.4%	14.6%	15.9%						
Net debt/(cash)	597	(3,328)	(6,072)	(10,835)	(17,109)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	42.3	36.1	30.0	24.4	19.7
						P/BV (x)	6.5	5.2	4.6	4.0	3.4
						EV/EBITDA (x)	34.6	28.3	23.9	21.0	17.3
						Dividend Yield	0.6%	0.6%	0.9%	1.1%	1.4%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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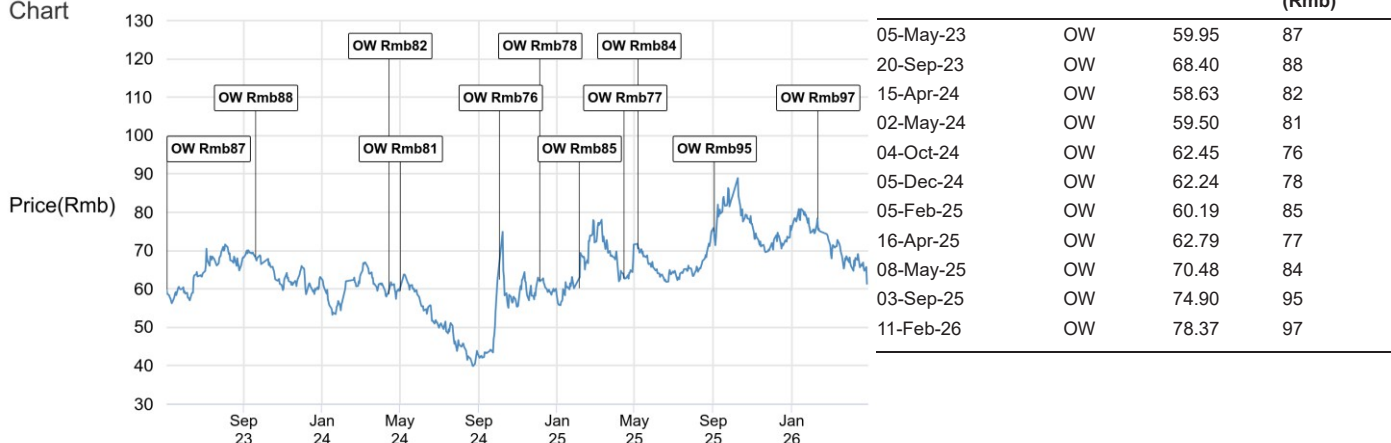
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Shenzhen Inovance Technology Co. Ltd - A (300124.SZ, 300124 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 18, 2017. All share prices are as of market close on the previous business day.

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